

A Full Worked Case - Profitability

Consulting Technical Curriculum companion. End-to-end case walkthrough.

One complete profitability case from prompt to recommendation, annotated so you can see the full arc: clarify, structure, analyze, isolate the driver, and recommend. Read it once for flow, then cover the steps and try to drive it yourself.

Prompt

Our client is a regional chain of 20 fitness gyms. Profit fell 25% last year, from \$4M to \$3M, on roughly flat membership. The CEO wants to know why and what to do.

Step 1 - Clarify

Play it back and scope it. Profit is down 25% on flat membership over one year. Confirm the metric is absolute profit, not margin, and that membership counts held roughly steady. Ask one scoping question: did this happen across all 20 gyms or a few? Answer from the interviewer: it is broad, not one bad location.

Step 2 - Structure

Profit = Revenue - Cost. Membership is flat, so start by asking whether the problem is on revenue or cost. Revenue splits into members times revenue per member; cost splits into fixed (rent, equipment, salaried staff) and variable (hourly staff, utilities, supplies). Hypothesis: with member counts flat, either revenue per member fell or a cost line rose. Test revenue per member first.

Step 3 - Analyze revenue

Data from the interviewer: members held at ~40,000 and total revenue held at ~\$20M, so revenue per member is unchanged at ~\$500/year. Revenue is not the problem. That kills the revenue hypothesis and points squarely at cost, which rose by the full \$1M profit drop.

Step 4 - Analyze cost

Ask for the cost lines, this year vs last. Rent rose from \$6M to \$6.8M; equipment lease from \$2M to \$2.1M; staff and other roughly flat. The rent increase of \$800K explains most of the \$1M gap, with the rest in small equipment and utility creep.

Step 5 - Find the driver

Drill the rent. The interviewer reveals that 8 of 20 leases renewed last year at much higher market rates. So the cause is concentrated lease renewals at higher rents, an external cost shock, not an operational failure inside the gyms.

Step 6 - Recommend

Lead with the answer. Profit fell because rent rose ~\$800K when 8 leases renewed at higher market rates, with member revenue unchanged. Actions: renegotiate or relocate the worst renewals, push longer fixed-rent terms on the remaining leases to avoid repeat shocks, and since revenue per member is flat, test a modest price increase or premium tier to offset structurally higher rent. Biggest risk: more leases renew at higher rates next year, so lock terms now.

What made this strong

The candidate quantified first, used a math-based MECE split, killed the revenue hypothesis with one data point, drilled cost to a specific concentrated driver, separated external from internal cause, and ended with a quantified recommendation and the key risk. No framework was dumped; the structure was built for this problem.